find growth stocks in virtually every stock market sector, though you may be more likely to come across them in sectors that are highly innovative. Technology and healthcare, for example, are constantly evolving offering opportunities for new companies to claim a share of the market.

Welspun Enterprises is another example of a growth stock which draws strength as an infrastructure developer in the roads and water sector. The company has its business in the niche infrastructure space of constructing expressway and bridges over rivers. The company has a strong balance sheet, good credit ratings and an asset-light strategy. With a focus on high-value-added project management, it has successfully aligned its infrastructure focus with initiatives by the government such as expressways or wastewater treatment facilities.

Value Investing

Value Investing means identifying and investing in companies which are trading at a discount to the fair value and are available at cheaper valuations. This investment strategy bets on the value of the company and not its growth potential. As much as it seems easy and simple, following it is not as straightforward. A value investing strategy is based on buying into strong companies that will maintain their success and that will eventually have their intrinsic worth recognised by the markets. This is a strategy that has been long practiced by Warren Buffet who focuses on the true potential and stability of a company, looking at its overall business and operations rather than just the stock price.

Think of these as stocks of companies that may have a short-term hiccup that impacts their share price in the interim, but over the long and at times very long term, it has all that it takes to reflect its true worth. Take Coal India, which is the single largest coal producer in the world. The company has 322 mines (as of April 1, 2023), but its share price has been subdued in recent times after the government decided to reduce its stake. The news doesn't have any impact on the functioning or potential of the company. The need and usage of coal is the same and will stay the same. Several investors see the value of the company, and could consider investing in it for the real value to emerge and play.

GROWTH INVESTMENT INDICATORS

- Faster increase in earnings per share growth compared to their peers
- Growth companies report above-average profits compared to their peers
- They have a strong historical growth in revenues and sales
- Good return on equity indicates sound management of operations

Thinking of value investing is like looking for a sale; the price of the stock is at a discount and value investors take advantage of this mispricing in the market and invest. The hope is for the stock price or the company's real potential to be realised over the next couple of years and make a gain from the price rise and pocket a handsome profit or gain. In terms of risk factors, value stocks are referred to as low-risk investments as investors tend to purchase mature, profitable and dividend-paying businesses.

Value investing involves researching and digging through the company data and stock information to find stocks trading below their fair or intrinsic value. The fair value or intrinsic value of any business or company is computed taking into account various parameters like the growth potential of the industry to which the business belongs, business model and strategy, and track record of the management. Value



VALUE INVESTMENT INDICATORS

- Check the price-to-book (P/B) as it indicates how much a business is worth in terms of its financial accounting records
- Check price-to-earnings (P/E) which indicates whether stocks are overvalued or undervalued
- Free cash flow indicates how much cash the business can generate
- Earnings before interests, taxes, depreciation, and amortisation indicate operational efficiency; higher the ratio, the better it is for investors